

MASTER SERVICE AGREEMENT (MSA)

MSA ID
MSA-2024-001
Date: January 15, 2024

CLIENT

NovaTech Solutions Inc.

742 Innovation Drive, Suite 300
San Jose, CA 95110
EIN: 94-3021567

VENDOR / SERVICE PROVIDER

CloudMinds Pvt. Ltd.

Plot 47, Rajiv Gandhi Infotech Park
Hinjewadi Phase II, Pune – 411057
GSTIN: 27AABCC1234F1Z5

1. PURPOSE & SCOPE

This Master Service Agreement ('Agreement') is entered into as of January 15, 2024 ('Effective Date') between NovaTech Solutions Inc., a California corporation ('Client'), and CloudMinds Pvt. Ltd., an Indian private limited company ('Vendor'). This Agreement establishes the general terms and conditions under which Vendor shall provide technology services to Client. Specific services, deliverables, timelines, and pricing shall be defined in individual Statements of Work (SOWs) executed under this Agreement.

All SOWs must reference this Agreement number (MSA-2024-001) to be binding hereunder.

2. TERM

This Agreement shall commence on the Effective Date and continue for an initial term of three (3) years, unless earlier terminated in accordance with Section 11. This Agreement shall automatically renew for successive one-year periods unless either party provides sixty (60) days' prior written notice of non-renewal.

3. SERVICES

Vendor agrees to provide IT consulting, cloud infrastructure management, software development, and related professional services as described in applicable SOWs. Vendor shall perform all services in a professional and workmanlike manner, consistent with industry standards.

4. PAYMENT TERMS

Client shall pay all undisputed invoices within Net 30 days of receipt. Late payments shall accrue interest at 1.5% per month. All amounts are in USD unless otherwise specified in the applicable SOW. Vendor shall submit invoices referencing the applicable PO number.

5. INTELLECTUAL PROPERTY RIGHTS

This section governs all intellectual property created, used, or exchanged under this Agreement and any associated SOW.

5.1 Work Product Ownership

All work product, deliverables, developments, inventions, improvements, designs, software, documentation, and other materials created, conceived, or reduced to practice by Vendor specifically for Client under an SOW ('Work Product') shall be considered work-made-for-hire under applicable copyright law and shall be the exclusive property of Client upon full payment of all amounts due. Vendor hereby

irrevocably assigns to Client all right, title, and interest in and to the Work Product, including all associated intellectual property rights worldwide.

5.2 Background IP

Vendor retains ownership of its pre-existing tools, frameworks, methodologies, know-how, and technology developed independently of this Agreement ('Background IP'). To the extent any Background IP is embedded in or necessary for the use of Work Product, Vendor grants Client a non-exclusive, perpetual, irrevocable, royalty-free license to use, modify, and distribute such Background IP solely as part of the Work Product.

5.3 License Restrictions

Client shall not sublicense, transfer, or assign any rights to Background IP beyond what is expressly permitted herein. Vendor shall not use Client's Work Product, data, or proprietary information to train AI/ML models, build competing products, or for any purpose outside the scope of this Agreement.

5.4 Third-Party Components

Vendor shall disclose all third-party open-source or licensed components embedded in any deliverable prior to delivery. Vendor warrants that such components are used in compliance with their respective licenses and will not impose obligations inconsistent with Client's ownership rights in the Work Product.

6. CONFIDENTIALITY AND NON-DISCLOSURE

The parties recognize that in the course of performing this Agreement, each may have access to sensitive, proprietary, and non-public information of the other party. The following terms govern all such disclosures.

6.1 Definition of Confidential Information

"Confidential Information" means any non-public information disclosed by one party ('Disclosing Party') to the other ('Receiving Party'), whether in written, electronic, or oral form, that is designated as confidential or that a reasonable person would understand to be confidential given the context. This includes, without limitation: business plans, financial data, customer lists, trade secrets, technical specifications, pricing, source code, system architectures, personnel data, and personal data of employees or clients.

6.2 Obligations of Receiving Party

The Receiving Party agrees to:

- hold all Confidential Information in strict confidence using no less than the same degree of care it uses to protect its own confidential information, but in no event less than reasonable care;
- not disclose Confidential Information to any third party without prior written consent of the Disclosing Party;
- use Confidential Information solely for the purposes of performing its obligations under this Agreement; and
- limit access to Confidential Information to employees or contractors who have a need to know and who are bound by confidentiality obligations at least as protective as those set forth herein.

6.3 Exclusions

The obligations of this Section shall not apply to information that: (a) is or becomes publicly available through no breach of this Agreement; (b) was rightfully known to the Receiving Party prior to disclosure without restriction; (c) is independently developed by the Receiving Party without use of Confidential Information; or (d) is required to be disclosed by applicable law or court order, provided that the Receiving Party gives prompt written notice to the Disclosing Party and reasonably cooperates in seeking a protective order.

6.4 Duration of Non-Disclosure Obligations

The confidentiality and non-disclosure obligations set forth in this Section shall survive the termination or expiration of this Agreement for a period of five (5) years. With respect to information that constitutes a trade secret under applicable law, such obligations shall continue indefinitely for as long as such information remains a trade secret.

6.5 Return or Destruction of Confidential Information

Upon termination of this Agreement or upon written request by the Disclosing Party, the Receiving Party shall promptly return or securely destroy all tangible and electronic materials containing Confidential Information and shall certify such return or destruction in writing within ten (10) business days.

7. DATA PROTECTION

Vendor shall comply with all applicable data protection laws, including the General Data Protection Regulation (GDPR) and the Information Technology Act, 2000 (India). Vendor shall implement appropriate technical and organizational measures to protect Client's data against unauthorized access, loss, alteration, or destruction. Vendor shall notify Client of any data breach within 72 hours of becoming aware of it.

8. INDEMNIFICATION

This section defines each party's obligations to protect the other from losses caused by their respective acts or omissions.

8.1 Mutual Indemnification

Each party ('Indemnifying Party') shall indemnify, defend, and hold harmless the other party and its officers, directors, employees, and agents ('Indemnified Party') from and against any and all third-party claims, damages, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to the Indemnifying Party's material breach of this Agreement.

8.2 Vendor's Product and Service Liability – Vendor Responsibility for Mishaps

Vendor acknowledges that any defect, failure, or malfunction in its products, software, or services may cause harm to Client and/or third parties. Accordingly, Vendor shall be solely responsible for, and shall fully indemnify and hold harmless Client from, any and all claims, losses, damages, liabilities, fines, penalties, and expenses (including legal fees) arising out of or related to:

- any defect, malfunction, error, or failure of the Vendor's products, software, deliverables, or services, whether latent or patent;
- any negligent, reckless, or wrongful act or omission by Vendor or its subcontractors in the performance of services under this Agreement;
- any personal injury, property damage, data loss, or financial loss caused directly or indirectly by Vendor's deliverables, services, or personnel;
- any breach of Vendor's warranties, representations, or obligations under this Agreement or applicable law; and
- any infringement of third-party intellectual property rights caused by Vendor's Work Product or Background IP used hereunder.

This indemnification obligation applies regardless of whether Client was made aware of such risks and survives the termination of this Agreement.

8.3 Indemnification Procedure

The Indemnified Party shall: (a) promptly notify the Indemnifying Party in writing of any claim; (b) grant the Indemnifying Party sole control of the defense and settlement of such claim (provided that no settlement imposes obligations or liability on the Indemnified Party without its prior written consent); and (c) provide reasonable cooperation. Failure to provide timely notice shall only reduce the Indemnifying Party's obligations to the extent it is materially prejudiced by such failure.

9. LIABILITY CLAUSE – LIMITATION OF LIABILITY

This section establishes the maximum financial exposure for each party under this Agreement and defines the circumstances in which those limits apply or do not apply.

9.1 Aggregate Liability Cap – Maximum Amount Payable

Notwithstanding any other provision of this Agreement, each party's total aggregate liability to the other arising out of or in connection with this Agreement — whether in contract, tort (including negligence), breach of statutory duty, or otherwise — shall not exceed the total fees actually paid or payable by Client to Vendor under the applicable Statement of Work during the twelve (12) calendar months immediately preceding the event giving rise to the claim ('Liability Cap'). This cap represents the maximum financial obligation either party may incur in the event of any loss, damage, or claim.

9.2 Exclusion of Consequential Damages

Except in cases of gross negligence, willful misconduct, fraud, or a party's express indemnification obligations under Section 8, neither party shall be liable to the other for any indirect, incidental, special, consequential, exemplary, or punitive damages, including but not limited to: loss of profits, loss of revenue, loss of business opportunity, loss of goodwill, or business interruption, even if such party has been advised of the possibility of such damages.

9.3 Exceptions to Limitation

The limitations of liability set forth in Sections 9.1 and 9.2 shall not apply to:

- either party's obligations under Section 6 (Confidentiality and Non-Disclosure);
- Vendor's indemnification obligations under Section 8.2 (Vendor Product and Service Liability);
- claims arising from fraud, willful misconduct, or gross negligence;
- death or personal injury caused by a party's negligence; or
- any liability that cannot be limited or excluded by applicable law.

9.4 Mitigation of Loss

Both parties agree to take commercially reasonable steps to mitigate any losses or damages upon becoming aware of any event or circumstance that could give rise to a claim under this Agreement.

10. GOVERNING LAW

This Agreement shall be governed by the laws of the State of California, USA, without regard to conflict-of-law principles.

11. DISPUTE RESOLUTION

The parties are committed to resolving disputes efficiently and in good faith. The following escalation process shall apply to any dispute arising out of or relating to this Agreement.

11.1 Good-Faith Negotiation

In the event of any dispute, controversy, or claim arising out of or relating to this Agreement, or its breach, termination, or validity ('Dispute'), the parties shall first attempt resolution through good-faith negotiation between senior representatives. The aggrieved party shall provide written notice detailing the nature of the Dispute. The parties shall have thirty (30) days from such notice ('Negotiation Period') to reach a mutually acceptable resolution.

11.2 Mediation

If the Dispute is not resolved during the Negotiation Period, either party may initiate non-binding mediation administered by JAMS in San Jose, California, before a mutually agreed single mediator. Mediation costs

shall be shared equally. Mediation shall be completed within sixty (60) days of initiation unless the parties agree in writing to extend this period.

11.3 Binding Arbitration

If mediation fails to resolve the Dispute, it shall be finally and conclusively resolved by binding arbitration administered by JAMS pursuant to its Comprehensive Arbitration Rules and Procedures, with the seat of arbitration in San Jose, California, before a single arbitrator. The arbitrator’s award shall be final and binding and may be entered as a judgment in any court of competent jurisdiction. Each party shall bear its own attorneys’ fees unless the arbitrator finds a party’s claim or defense to be frivolous or brought in bad faith.

11.4 Emergency and Injunctive Relief

Nothing in this Section shall prevent either party from seeking emergency injunctive or other equitable relief from a court of competent jurisdiction to prevent irreparable harm, including in cases of actual or threatened breach of confidentiality or intellectual property rights.

11.5 Class Action Waiver

Each party irrevocably waives any right to bring or participate in any class, collective, or representative action. All Disputes shall be resolved on an individual basis only.

12. TERMINATION

Either party may terminate this Agreement or any SOW for cause upon thirty (30) days’ written notice if the other party materially breaches this Agreement and fails to cure such breach within such period. Client may terminate any SOW for convenience upon sixty (60) days’ written notice. Upon termination, each party shall promptly return or destroy all Confidential Information of the other party in accordance with Section 6.5, and all ongoing SOWs shall wind down in accordance with their respective terms.

AUTHORIZED SIGNATURES

By signing below, both parties agree to all terms and conditions set forth in this Master Service Agreement.

CLIENT SIGNATURE Signature: _____ Name: James W. Harper Title: Chief Technology Officer Date: February 01, 2024	VENDOR SIGNATURE Signature: _____ Name: Rohan Mehta Title: Director, Cloud Services Date: February 01, 2024
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